CAMS Exam: Select-Two Questions (50 Questions)

Advanced AML Training

June 4, 2026

Instructions

Each question has **five options (A through E)**. Exactly **two** of these options are correct. Select both correct answers.

Money Laundering Fundamentals

1. Money Laundering Stages

Which two of the following correctly describe the three stages of money laundering?

A. Placement – introducing illicit funds into the financial system.

B. Verification – confirming customer identity through biometrics.

C. Layering – conducting complex transactions to obscure the audit trail.

D. Approval – obtaining senior management sign-off for high-risk accounts.

E. Integration – making laundered funds appear legitimate through investments.

Correct Answers: A and C

2. Trade-Based Money Laundering (TBML) Indicators

Which two of the following are red flags for trade-based money laundering?

A. Invoice prices significantly above or below market value.

B. Direct shipping between two FATF member countries with no intermediaries.

C. Multiple amendments to letters of credit without logical explanation.

D. Use of standard, unmodified commercial invoices.

E. Goods shipped directly from manufacturer to end-user.

Correct Answers: A and C

3. Shell Company Risk Indicators

Which two characteristics most increase money laundering risk for shell companies?

A. Physical office presence in a major financial center.

B. Use of bearer shares or nominee shareholders to obscure ownership.

C. Registration in a jurisdiction with public UBO registry.

D. Multiple layers of corporate entities across secrecy havens.

E. Single, clearly identified beneficial owner.

Correct Answers: B and D

4. Black Market Peso Exchange (BMPE)

Which two statements accurately describe the Black Market Peso Exchange system?

A. It uses drug dollars in the U.S. to pay legitimate invoices for foreign merchants.

B. It requires formal correspondent banking relationships to function.

C. It allows Colombian peso brokers to profit from the exchange rate spread.

D. It is a fully regulated currency exchange mechanism approved by FinCEN.

E. It eliminates the need for any cash smuggling across borders.

Correct Answers: A and C

5. Human Trafficking Financial Indicators

Which two transaction patterns most strongly indicate human trafficking for forced labor?

A. Single large wire transfer from a family member to a migrant worker.

B. Multiple small, regular payments from a corporate account to multiple individuals with the same surname, no employment contracts.

C. Frequent utility bill payments for multiple high-density residential properties from a single account.

D. One-time purchase of international airline tickets for a family vacation.

E. Large real estate purchase using verified inheritance funds.

Correct Answers: B and C

FATF and International Standards

6. FATF Mutual Evaluation Process

Which two statements about FATF Mutual Evaluations are correct?

A. Countries are assessed on both Technical Compliance and Effectiveness.

B. Only developing countries are subject to mutual evaluations.

C. Effectiveness is measured across 11 Immediate Outcomes.

D. Technical Compliance is measured across 5 Recommendations only.

E. Mutual evaluations are conducted annually for all member countries.

Correct Answers: A and C

7. FATF Grey List vs. Black List

Which two statements accurately distinguish FATF Grey List and Black List jurisdictions?

A. Grey List jurisdictions are subject to increased monitoring but not full countermeasures.

B. Black List jurisdictions are automatically expelled from the United Nations.

C. Both lists require all financial transactions to be frozen immediately.

D. Grey List jurisdictions have committed to resolve identified AML deficiencies within agreed timeframes.

E. Black List jurisdictions receive simplified due diligence treatment to encourage compliance.

Correct Answers: A and D

8. FATF Recommendation 16 (Wire Transfer Rule)

Which two pieces of information must accompany a cross-border wire transfer under FATF Recommendation 16?

A. Originator's full name.

B. Originator's country of birth.

C. Originator's account number.

D. Originator's favorite color.

E. Originator's mother's maiden name.

Correct Answers: A and C

9. UN Security Council Sanctions

Which two statements correctly describe UNSC sanctions obligations for financial institutions?

A. Assets of designated individuals or entities must be frozen immediately without prior notice.

B. Institutions may continue transactions if the amount is below $10,000.

C. The UN Consolidated Sanctions List is updated only once per year.

D. Designated entities include terrorists, proliferators, and their financiers.

E. Institutions may notify the customer before freezing assets to allow them to respond.

Correct Answers: A and D

10. EU 5AMLD vs. 6AMLD

Which two features distinguish the EU Sixth Anti-Money Laundering Directive (6AMLD) from 5AMLD?

A. 6AMLD harmonizes predicate offenses across all EU member states.

B. 6AMLD lowers the threshold for cash payments to €1,000.

C. 6AMLD eliminates all customer due diligence requirements.

D. 6AMLD introduces criminal liability for legal persons (corporations).

E. 6AMLD removes all reporting obligations for virtual asset service providers.

Correct Answers: A and D

USA PATRIOT Act and U.S. Regulations

11. USA PATRIOT Act Section 311

Which two actions can the U.S. Secretary of the Treasury take under Section 311 against a foreign financial institution of primary money laundering concern?

A. Prohibit U.S. financial institutions from opening or maintaining correspondent accounts for the designated institution.

B. Seize all assets of the foreign institution's U.S.-based executives personally.

C. Impose special recordkeeping and reporting requirements on transactions involving the designated institution.

D. Automatically freeze all individual customer accounts at the foreign institution.

E. Mandate that all U.S. banks close their domestic retail branches.

Correct Answers: A and C

12. Section 313: Shell Bank Prohibition

Which two statements accurately describe the U.S. prohibition on shell banks under Section 313 of the USA PATRIOT Act?

A. A shell bank is defined as a bank with no physical presence in any country.

B. Shell banks are permitted if they are regulated by a G20 central bank.

C. U.S. banks are prohibited from maintaining correspondent accounts for foreign shell banks.

D. Shell banks may operate freely if they hold a valid state banking license.

E. An exception exists for shell banks that are affiliates of U.S.-regulated banks.

Correct Answers: A and C

13. SAR Safe Harbor Provisions

Which two protections does the SAR Safe Harbor provide to financial institutions that file Suspicious Activity Reports in good faith?

A. Immunity from civil liability arising from the SAR filing.

B. Automatic approval for all future transactions involving the same customer.

C. Protection from criminal liability for the underlying suspicious activity.

D. Immunity from civil liability for failure to disclose the SAR to the customer.

E. Guaranteed confidentiality of the SAR filing even if disclosed to the customer.

Correct Answers: A and D

14. FinCEN Geographic Targeting Orders (GTOs)

Which two statements accurately describe FinCEN Geographic Targeting Orders for real estate transactions?

A. GTOs require title insurance companies to identify beneficial owners behind all-cash purchases above a threshold.

B. GTOs apply to all real estate transactions regardless of purchase method.

C. GTOs are permanent regulations that do not expire.

D. GTOs target specific metropolitan areas identified as high-risk for real estate money laundering.

E. GTOs exempt all transactions involving publicly traded companies.

Correct Answers: A and D

15. FinCEN 314(a) vs. 314(b)

Which two statements correctly distinguish FinCEN 314(a) from 314(b)?

A. 314(a) involves mandatory searches of bank records in response to law enforcement requests.

B. 314(b) involves voluntary information sharing among financial institutions.

C. 314(a) requires customer notification before any search is conducted.

D. 314(b) prohibits any information sharing under all circumstances.

E. Both 314(a) and 314(b) require a court order to initiate.

Correct Answers: A and B

CDD, KYC, and Beneficial Ownership

16. Customer Due Diligence (CDD) Pillars

Under FinCEN's CDD Rule, which two of the following are required elements of CDD?

A. Identify and verify the identity of each customer.

B. Obtain a credit score for every customer over $1 million.

C. Identify and verify beneficial owners of legal entity customers (25% ownership or control prong).

D. Conduct annual physical inspection of all business premises.

E. Monitor transactions on an ongoing basis for suspicious activity.

Correct Answers: A and C

17. Beneficial Ownership Threshold Calculation

Which two scenarios would require an individual to be identified as a UBO under a standard 25% ownership threshold?

A. Individual A directly owns 20% of Target Company.

B. Individual B directly owns 15% and indirectly owns another 12% through a wholly-owned holding company.

C. Individual C directly owns 24.9% of Target Company.

D. Individual D owns 30% of Parent Company, which owns 100% of Target Company.

E. Individual E owns 10% of Target Company and serves as a junior administrative assistant.

Correct Answers: B and D

18. Politically Exposed Persons (PEPs)

Which two individuals would be classified as PEPs or PEP family members under international standards?

A. A foreign head of state.

B. A senior cabinet minister in a foreign government.

C. A local grocery store cashier in a low-risk jurisdiction.

D. The adult child of a foreign head of state.

E. A retired elementary school teacher with no government connections.

Correct Answers: A and D

19. Enhanced Due Diligence (EDD) Requirements

Which two actions are required as part of Enhanced Due Diligence for high-risk customers?

A. Establishing the source of wealth and source of funds through verifiable documentation.

B. Applying simplified identity verification (e.g., selfie only).

C. Obtaining senior management approval before onboarding or maintaining the relationship.

D. Waiving all transaction monitoring for privacy reasons.

E. Conducting a credit check regardless of the product type.

Correct Answers: A and C

20. Simplified Due Diligence (SDD)

Which two types of customers may qualify for Simplified Due Diligence under a risk-based approach?

A. A publicly traded company listed on a recognized stock exchange with full SEC disclosure.

B. A foreign PEP from a high-corruption jurisdiction.

C. A U.S. government agency (e.g., Social Security Administration).

D. A shell company registered in a secrecy haven.

E. A customer who refuses to provide any identification documents.

Correct Answers: A and C

Virtual Assets and VASPs

21. FATF Travel Rule for Virtual Assets

Under the FATF Travel Rule for virtual assets, which two pieces of information must VASPs collect and share for transactions above the threshold?

A. Originator's name and account number (wallet identifier).

B. Originator's favorite cryptocurrency trading strategy.

C. Beneficiary's name and account number (wallet identifier).

D. The exact GPS coordinates of the transaction initiation.

E. The originator's internet browsing history.

Correct Answers: A and C

22. Anonymity-Enhanced Cryptocurrencies (AECs)

Which two characteristics of Monero (XMR) and similar privacy coins create money laundering risks?

A. They use ring signatures and stealth addresses to obscure transaction trails.

B. They are fully transparent and traceable on public blockchains.

C. They are illegal in all jurisdictions globally.

D. They can be used with mixers/tumblers to further obfuscate the audit trail.

E. They are exclusively issued and controlled by central banks.

Correct Answers: A and D

23. Crypto Mixers and Tumblers

Which two risk indicators should trigger enhanced scrutiny when a customer uses a crypto mixing service?

A. The customer deposits funds into a mixer and withdraws to a new wallet.

B. The customer provides a clear, documented legitimate reason for using the mixer.

C. The customer refuses to explain the source of funds before mixing.

D. The customer uses only regulated, licensed mixers with full KYC.

E. The customer immediately sends mixed funds to a known illicit address.

Correct Answers: A and C

24. Decentralized Finance (DeFi) AML Responsibility

Under FATF guidance, which two entities may bear AML/CFT obligations in DeFi arrangements?

A. The individual developers who retain control or governance over the protocol.

B. Every anonymous user of the protocol equally.

C. The blockchain network itself as a legal person.

D. Any entity that exercises control or sufficient influence over the protocol's operations.

E. No entity ever bears obligations because DeFi is by definition unregulated.

Correct Answers: A and D

25. Stablecoin Money Laundering Risks

Which two characteristics of stablecoins create money laundering vulnerabilities?

A. They are pegged to fiat currency, providing price stability that facilitates value storage.

B. They are always fully regulated by central banks with complete transaction transparency.

C. They can be transferred rapidly across borders without traditional banking intermediaries.

D. They cannot be used in any DeFi protocol or decentralized exchange.

E. Some stablecoin issuers have weak or no CDD controls on their direct customers.

Correct Answers: A and C

Correspondent Banking and Cross-Border Risks

26. Nested Correspondent Accounts

Which two risks arise when a respondent bank allows third-party banks to route nested transactions through a correspondent account without disclosure?

A. The correspondent bank becomes completely blind to the true identity of the ultimate originators.

B. The risk of processing transactions for sanctioned entities without knowledge increases significantly.

C. Operational costs decrease because fewer transactions need review.

D. The respondent bank's compliance burden is eliminated entirely.

E. The correspondent bank gains perfect visibility into every transaction.

Correct Answers: A and B

27. Payable-Through Accounts (PTAs)

Which two obligations apply to U.S. correspondent banks that offer payable-through accounts to respondent banks?

A. The correspondent bank must apply CDD requirements directly to the respondent bank's underlying customers.

B. The correspondent bank may ignore all transactions processed through the PTA.

C. The correspondent bank must maintain records identifying each PTA accountholder.

D. The correspondent bank must allow unlimited anonymous transactions.

E. The correspondent bank must outsource all monitoring to the respondent bank without oversight.

Correct Answers: A and C

28. De-Risking Consequences

Which two negative consequences result from indiscriminate de-risking by major correspondent banks?

A. Legitimate remittance corridors in developing economies lose access to global finance.

B. The global financial system becomes more transparent and inclusive.

C. Funds are driven into unregulated, informal channels that are harder to monitor.

D. Money laundering risks are completely eliminated from the financial system.

E. Regulatory authorities universally praise de-risking as best practice.

Correct Answers: A and C

29. Wolfsberg Correspondent Banking Due Diligence Questionnaire (CDDQ)

Which two areas are typically covered in a Wolfsberg Correspondent Banking Due Diligence Questionnaire?

A. The respondent bank's AML/CFT policies, procedures, and internal controls.

B. The respondent bank's CEO's personal investment portfolio.

C. The respondent bank's customer base, including high-risk segments like MSBs and NBFIs.

D. The respondent bank's office furniture and decoration preferences.

E. The respondent bank's employee dress code policy.

Correct Answers: A and C

30. Reverse Correspondent Banking

Which two risks are unique to reverse correspondent banking arrangements (small bank providing account to larger international bank)?

A. The small bank may be used as a blind gateway into the larger bank's client base.

B. The small bank gains perfect visibility into all of the larger bank's global transactions.

C. The small bank may struggle to conduct adequate due diligence on the larger bank's complex customer structures.

D. The reverse arrangement eliminates all money laundering risk for both banks.

E. The large bank automatically assumes full liability for all small bank transactions.

Correct Answers: A and C

Proliferation Financing and Sanctions

31. Proliferation Financing Red Flags

Which two indicators suggest potential proliferation financing (weapons of mass destruction-related) activity?

A. Export of dual-use goods to a country under UNSC nuclear sanctions.

B. Payment routed through third-party intermediaries unrelated to the transaction.

C. Shipment of agricultural products between two FATF-compliant nations.

D. Transaction conducted entirely in local currency within a single country.

E. End-user listed as a legitimate, publicly-traded pharmaceutical company.

Correct Answers: A and B

32. UNSCR 1540 Obligations

Which two actions are required of UN member states under UN Security Council Resolution 1540?

A. Establish effective controls over chemical, biological, radiological, and nuclear (CBRN) materials.

B. Freeze all assets of any country developing any form of advanced technology.

C. Prohibit any non-state actor from manufacturing or acquiring WMD-related materials.

D. Eliminate all border controls between member states.

E. Require all private citizens to report all scientific research to the UN.

Correct Answers: A and C

33. OFAC 50% Rule

Which two statements correctly describe the OFAC 50% Rule for blocked persons?

A. Any entity owned 50% or more in the aggregate by one or more blocked persons is itself blocked.

B. Ownership is calculated by multiplying through each tier of ownership.

C. Only direct ownership matters; indirect ownership is ignored entirely.

D. The rule applies only to individuals, not to corporate entities.

E. The 50% threshold is applied regardless of whether the ownership is direct or indirect.

Correct Answers: A and B

34. Secondary Sanctions

Which two statements accurately describe secondary sanctions risk for non-U.S. financial institutions?

A. A non-U.S. bank that processes non-USD transactions with a sanctioned Iranian entity may face U.S. secondary sanctions.

B. Secondary sanctions can result in the non-U.S. bank being designated on the OFAC SDN list.

C. Secondary sanctions never apply to any transaction that avoids the U.S. dollar.

D. The EU Blocking Statute completely eliminates all secondary sanctions risk for European banks.

E. Secondary sanctions may restrict a non-U.S. bank's access to the U.S. financial system.

Correct Answers: A and E

35. General vs. Specific OFAC Licenses

Which two statements correctly distinguish between OFAC General Licenses and Specific Licenses?

A. A General License authorizes certain categories of transactions without the need to apply to OFAC.

B. A Specific License is issued to a particular person or entity for a specific transaction.

C. General Licenses must be renewed annually with a formal application to OFAC.

D. Specific Licenses are published publicly and apply to all persons globally without application.

E. Both license types require a $10,000 application fee paid to the U.S. Treasury.

Correct Answers: A and B

AML Program Governance and Testing

36. Three Lines of Defense Model

Which two functions correctly align with the Three Lines of Defense in AML governance?

A. First Line: Business operations and front-line staff who own customer relationships.

B. Second Line: Independent Audit Department that designs transaction monitoring rules.

C. Second Line: Compliance Department and AML Officer providing oversight and guidance.

D. Third Line: Business line executives who approve every transaction.

E. Third Line: Internal Audit providing independent assurance to the Board.

Correct Answers: A and C

37. Independent Testing Requirements

Which two characteristics are required for the independent testing (audit) of an AML program?

A. The auditor must be independent of the functions being tested.

B. The auditor must be the same person who designed the AML policies.

C. The auditor must have sufficient expertise and qualifications.

D. The auditor must report directly to the Chief Compliance Officer only.

E. The auditor must be employed by the same business line being audited.

Correct Answers: A and C

38. Board of Directors AML Responsibilities

Which two responsibilities belong directly to a financial institution's Board of Directors?

A. Approving the AML compliance program and its material changes.

B. Filing every Suspicious Activity Report individually.

C. Reviewing every customer transaction over $1,000.

D. Providing oversight and holding senior management accountable for AML effectiveness.

E. Conducting daily branch teller transactions.

Correct Answers: A and D

39. Transaction Monitoring False Negatives vs. False Positives

Which two statements correctly characterize AML transaction monitoring calibration risks?

A. False positives occur when legitimate activity triggers an alert that is not suspicious.

B. False negatives occur when suspicious activity fails to generate any alert.

C. False positives are always preferable to false negatives because they cause no harm.

D. False negatives are acceptable as long as the bank files at least one SAR per year.

E. Over-filtering (raising thresholds too high) increases false negatives.

Correct Answers: A and B

40. AML Training Requirements

Which two statements correctly describe effective AML training programs under regulatory expectations?

A. Training must be role-specific and tailored to different employee functions.

B. All employees must receive identical training regardless of role.

C. Board members and senior management require specialized training on governance and risk oversight.

D. Training is required only once at employee onboarding with no refreshers needed.

E. Frontline tellers do not need any AML training because they do not file SARs.

Correct Answers: A and C

SAR Filing, Tipping-Off, and Investigations

41. SAR Filing Confidentiality (Tipping-Off)

Which two actions would constitute illegal "tipping-off" under AML laws?

A. Telling a customer that a SAR has been filed on their account.

B. Disclosing to a third party that an investigation is being considered.

C. Filing a SAR in good faith with the relevant FIU.

D. Sharing a SAR internally with the compliance committee on a need-to-know basis.

E. Publicly announcing on social media that a specific customer is under investigation.

Correct Answers: A and E

42. Responding to Law Enforcement Requests

Which two actions are appropriate when a financial institution receives a valid law enforcement subpoena for customer records?

A. Promptly comply with the subpoena within the specified timeframe.

B. Notify the customer immediately so they can close the account.

C. Maintain a complete internal record of all documents produced.

D. Destroy all responsive records to protect customer privacy.

E. Refuse to comply unless the law enforcement officer provides a verbal promise of confidentiality.

Correct Answers: A and C

43. Law Enforcement "Keep Open" Requests

Which two protocols should a bank follow when law enforcement requests that a suspicious account remain open for ongoing surveillance?

A. Document the request in writing from law enforcement.

B. Close the account immediately regardless of the request.

C. Obtain senior management approval before agreeing to the request.

D. Publicly announce the surveillance operation to deter criminal activity.

E. Continue normal transaction monitoring without any enhanced scrutiny.

Correct Answers: A and C

44. Mutual Legal Assistance Treaties (MLATs)

Which two statements correctly describe the function of Mutual Legal Assistance Treaties?

A. MLATs provide a formal mechanism for cross-border exchange of evidence and judicial documents.

B. MLATs allow one country to unilaterally arrest citizens of another country without authorization.

C. MLATs facilitate asset freezing and forfeiture across international borders.

D. MLATs eliminate all data privacy laws in both signatory countries.

E. MLATs are informal, non-binding agreements with no legal force.

Correct Answers: A and C

45. Egmont Group FIU-to-FIU Exchange

Which two principles govern information exchange between Financial Intelligence Units under the Egmont Group framework?

A. Exchanged information must be used only for AML/CFT purposes.

B. Information may be freely shared with the subject of the intelligence.

C. The receiving FIU must maintain confidentiality of the shared intelligence.

D. No limitations exist on how the receiving FIU may use the information.

E. Information may be sold to commercial data brokers for profit.

Correct Answers: A and C

MSBs, Casinos, and Gatekeepers

46. Money Services Business (MSB) Registration

Which two activities trigger MSB registration requirements under U.S. federal law?

A. Check cashing exceeding $1,000 for any person in a single day.

B. Operating a federally insured commercial bank.

C. Money transmitting services regardless of volume.

D. Selling homemade crafts at a local flea market.

E. Issuing or selling prepaid access cards.

Correct Answers: A and C

47. Casino AML Obligations

Under the U.S. Bank Secrecy Act, which two reporting obligations apply to casinos with gross gaming revenue exceeding $1 million?

A. Currency Transaction Reports (CTRs) for cash transactions exceeding $10,000 in a gaming day.

B. Suspicious Activity Reports (SARs) for transactions exceeding $5,000 that exhibit suspicious patterns.

C. Complete exemption from all BSA reporting requirements.

D. Daily reports of all winnings regardless of amount.

E. Reports only on slot machine activity, not table games.

Correct Answers: A and B

48. Lawyer Trust Accounts (IOLTA) Vulnerabilities

Which two characteristics make IOLTA accounts vulnerable to money laundering exploitation?

A. Banks often rely on the attorney's professional status without looking through to individual client sub-transactions.

B. IOLTA accounts are completely immune from any law enforcement subpoena.

C. Multiple client funds are pooled together, obscuring the origin of specific funds.

D. IOLTA accounts are required to be fully transparent to the public.

E. Lawyers are never required to identify their clients for any purpose.

Correct Answers: A and C

49. Informal Value Transfer Systems (IVTS) / Hawala

Which two characteristics define hawala and similar IVTS arrangements?

A. Transactions are settled through trust-based obligations rather than formal banking records.

B. Every hawala transaction is recorded on a public blockchain.

C. Hawaladars (brokers) maintain informal ledgers to track reciprocal obligations.

D. IVTS systems are always illegal in all countries without exception.

E. Hawala cannot be used for amounts exceeding $100.

Correct Answers: A and C

50. FATF Recommendation 8: NPOs

Which two vulnerabilities make certain non-profit organizations susceptible to terrorist financing exploitation?

A. NPOs often operate in conflict zones where financial monitoring infrastructure is weak.

B. NPOs are always fully regulated by central banks with complete transaction oversight.

C. NPOs enjoy public trust and may receive large cash donations without rigorous scrutiny.

D. NPOs are legally prohibited from having bank accounts in any jurisdiction.

E. All NPOs are required to publish their donor lists publicly.

Correct Answers: A and C